

Winding Tree

It's about time: What the end of change fees means for innovation in airline revenue management



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Published in Winding Tree · 6 min read · Sep 16, 2020



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In a year of massive upheaval in the travel industry, perhaps the biggest transformation was the end of change fees by U.S. airlines. The news both underscored the dire straits of the airline industry and marked a tectonic shift in its business model.

Are the end of travel fees nigh? Will hotels, which are also hurting amidst the pandemic, reconsider resort fees? And what about baggage fees, are those on the way out as well? And what would this all mean for dynamic pricing and personalization, which hinge predominantly on building bundles for individual travelers. These are all compelling questions,

The end of travel fees?

The travel industry has gone through a long period of unbundling fares, allowing travelers to build trips according to their own unique needs (and budgets). After everything became unbundled (and annoying), airlines “rebundled” with branded fares to better yield inventory. These fares bundled perks, such as advance seat assignments, lounge access, waived change fees, priority upgrades, and the like. To compete with low cost carriers, legacy airlines also created a lower-tier of non-refundable fare.

For the traveler, the result was indeed more personalization — but also more confusion. The paradox of choice reared its head and booking a flight became more complicated than it was when everything was included in the base fare. And, unsurprisingly, many travelers felt nickel-and-dimed, expressing frustration at the rise of fees and lower perceived value.

Yet passengers kept flying and these fees became a major source of revenue: \$5.8 billion in baggage fees and \$2.8 billion in change and cancellation fees in 2019. These fees truly became a central part of the airline business.

“The money airlines collect from these optional product fees are their financial lifelines. It’s become a core part of their revenue. It is central to how they do business.” -Henry Harteveldt in USA Today.

For most airlines, these fees became “easy money,” leveraging a captive audience amidst relentless demand for air travel. Of course, airlines like Southwest Airlines have been running successful businesses without fees for decades; clearly there’s a business model that doesn’t rely on these fees.

With diminished reliance on fees, airlines will have to iterate their business models to focus more on delivering actual value to travelers. One of the key tactics will continue to be dynamic pricing. But it’s not just about price discrimination, where airlines use fare restrictions and branded fare classes to yield inventory. It has to be about trying new ways to optimize revenues that don’t rely on blunt instruments and traditional ways of doing business.

Exploring new levers of airline revenue management

Airlines are in a position to innovate. After all, passengers have the upper hand. Nonexistent passengers don’t pay fees — or fares! Even in the longer term, where the end of change fees create a clearer distinction between basic economy and main cabin fares, relying solely on price discrimination may not be sufficient.

Airlines have an unprecedented opportunity to explore new levers of revenue management. Here are some ideas:

Creative upsells: Airlines have gotten quite sophisticated when it comes to up-sells. Whether it’s via a post-purchase pop-up offering an upgrade, a pre-travel email, or at check-in, airlines have really dialed into merchandising upsells.

Yet...there’s still plenty of room for creativity. At the very basic, there’s things that enhance the travel experience like including meal delivery at the jet bridge or luggage delivery.

The more transformative and ambitious approach would be to treat package upsells as more than just “add a hotel and rental car.” Rather, take a page from Airbnb’s playbook by crafting bespoke end-to-end experiences.

Tap into partnerships across industries and geographies to build creative packages that travelers can't get anywhere else. A concierge/travel advisor mindset can liberate airlines from the commodification of air travel and provide an entire new path ahead.

Managing load factor: Dynamic pricing can help airlines effectively yield seat inventory by encouraging customers to switch from emptier planes to fuller ones, and thus move demand in ways that can accommodate fewer passengers overall. This can also keep planes balanced for social distancing and avoid PR headaches from social media posts of overfull flights. "How full is this flight" is an entirely new way to revenue manage that aligns with traveler's safety expectations.

Iterating on subscriptions: What does loyalty mean in the world with less full-freight business travel and fewer frequent flier miles? Airlines have to figure this out. One potential avenue is to further leverage the power of recurring revenue. For instance, airlines already have co-branded credit cards. But credit cards and flights may not be the best way to gauge loyalty in today's environment. Where's the appeal of a credit card that offers waived fees when there are fewer fees to waive? And why pay an annual fee if the most loyal customers are flying less? Airlines must bring value in new ways.

To experiment with new recurring revenue, airlines could offer a subscription service similar to SkyHi, an app-based subscription service for flights. Similar to WiFi and lounge access (which are fixed assets that benefit from each incremental subscription), airlines could build subscriptions for a set number of legs as a way to build a base of reliable revenue. Since airlines have the ability to manage their inventory directly, they could segment this offering in all kinds of ways: by cabin, by booking window, by O/D pairs, by length of stay. There could also be pet subscriptions to enable people to travel more with their pets.

Or, since credit cards and flights may not be the best way to gauge loyalty in today's environment, what about creating new types of loyalty, such as filling

empty seats by offering last-minute deals to members, keeping them opaque and away from the public? By leveraging new tools (like Winding Tree) that allow anyone to create niche OTAs, airlines could fundamentally rethink how they sell to their best customers — and what “best customers” even means.

Length-of-stay: The Saturday night stay requirement has long been away to separate business travel from leisure. And with less business travel, there’s also less leisure. So what about encouraging longer stays for remote workers? Could airlines build dynamic packages around certain destinations that include a month stay at a vacation rental, as well as a flight and perhaps even all-inclusive local transportation?

This also extends to corporate travel. With fewer business travelers spending boatloads of cash, airlines could become remote work facilitators, bringing together teams for quarterly retreats that require duty-of-care, coordination and collaboration. Sure, this is what a travel agent does — but airlines have a right to play in this space as global travel experts. Airlines have always been enablers of the global economy; positioning themselves as enablers of Work From Anywhere could work wonders.

The technology must evolve as well

To accommodate these experiments, airlines must invest further in technology that enables true personalization and dynamic revenue management. Some are taking an approach that reinforces the gate keeping nature of the GDS (such as the Air France-KLM tie up with Amadeus, which requires airlines to sign bilateral agreements), and others are refocusing efforts on existing distribution ecosystems, such as Delta’s announcement that it will pause investments in NDC.

Whichever path airlines choose to embark upon, success lies in pursuing new business models built on customer-first innovation. Airlines can no longer rely on an insatiable thirst for air travel to sustain and grow their businesses; now they must truly become traveler-centric and focus on

building experiences that entice travelers. With the right technology in place, these experiments can flourish — and give the industry some much needed breathing room.

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Published in Winding Tree

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